UEH UNIVERSITY OF ECONOMICS HO CHI MINH CITY

IFRS 16: LEASE



IFRS 16 – Content

2

- Overview
- Accounting by lessee (Bên đi thuê)
- Accounting by lessor (Bên cho thuê)

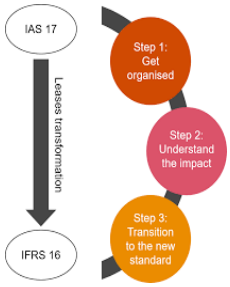


1.Overview

3

- Development of **IFRS 16-** Leases?
- Objective and scope of **IFRS 16**?
- What is a lease?
  - Does the arrangement contain a lease?
  - Lease components
- Accounting by lessee

DEVELOPMENT OF IFRS16





4

1.1.Development of IFRS 16- Leases?

1982: IAS 17 originally issued

Substance over form + Present value

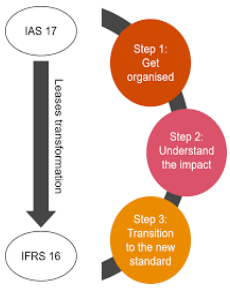
Essentially unchanged for 27 years

2016: New standard IFRS 16

~~Operating vs finance lease~~ | Concept of "right-to-use" | Different reporting in the financial statements

The effective date of the new IFRS 16 is *1 January 2019*.

OBJECTIVE & SCOPE





6

Objective & scope

7

IFRS 16

⇒ 1 January 2019

⇒ IAS 17 leases will no longer apply

⇒ Early application only with IFRS 15!

objective

To specify the principles for recognition, measurement presentation and disclosure of **LEASES**

IFRS 16 - LEASE





RECOGNITION – MEASUREMENT

8

IFRS 16 - LEASE



REGCONITION

✓Lease ?

✓Commencemend date ?



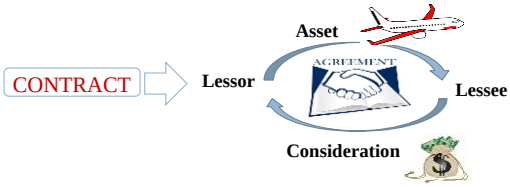
9

Lease

10

What is a lease?

= contract that conveys the **right to use** an asset for a period of time in exchange for consideration



11

Does an arrangement contain a lease?

= Throughout the period of use, the **customer** has **both** of the following rights to the identified asset:

✓ The right to obtain substantially all

Economic benefits

- ***Exclusive*** *right of use*
- *Including* ***its primary output*** *and by- products*

✓ The right to direct the use

User makes:

- ***Decisions*** *about why and how the asset is used*
- ***Protective rights*** *do not limit the right to direct the use*

Does an arrangement contain a lease?

= Throughout the period of use, the customer has both of the following rights **to the identified asset:**

(rõ ràng) Explicity | Implicity (Hàm ý)

Capacity portion = Identified asset IF:

✓ Physically distinct OR ✓ Substantially all of the capacity

Does an arrangement contain a lease?

= Throughout the period of use, the **customer** has **both** of the following rights to the identified asset:

✓ The right to obtain substantially all

Economic benefits

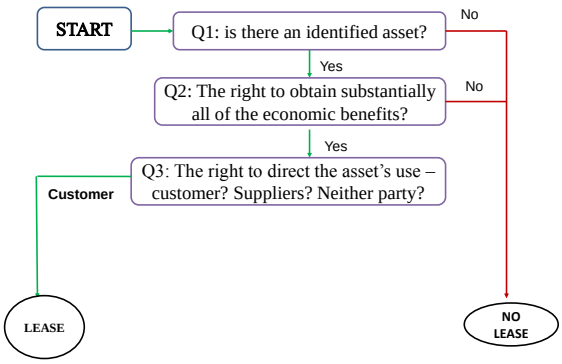
- ***Exclusive*** *right of use*
- *Including* ***its primary output*** *and by- products*

✓ The right to direct the use

User makes:

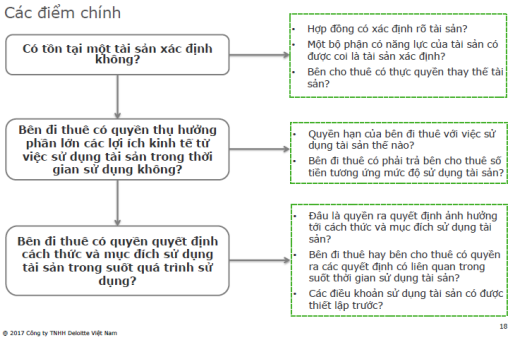
- ***Decisions*** *about why and how the asset is used*
- ***Protective rights*** *do not limit the right to direct the use*

Does an arrangement contain a lease?



Tóm tắt - Xác định hợp đồng thuê

Các điểm chính

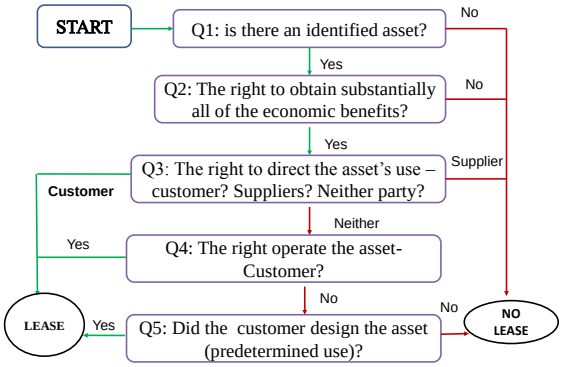


© 2017 Công ty TNHH Deloitte Việt Nam

18

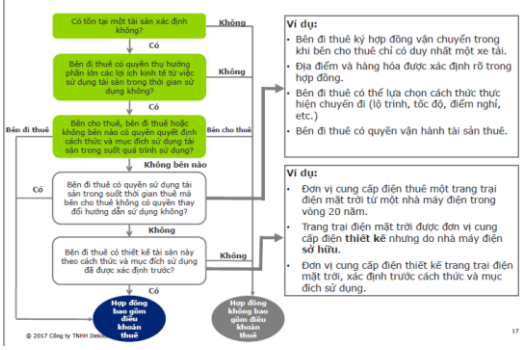
15

Does an arrangement contain a lease?



Nếu quyền ra quyết định được xác định trước?

Cân nhắc thêm hai điểm



© 2017 Công ty TNHH Deloitte Việt Nam

17

Ex1:

Lease?



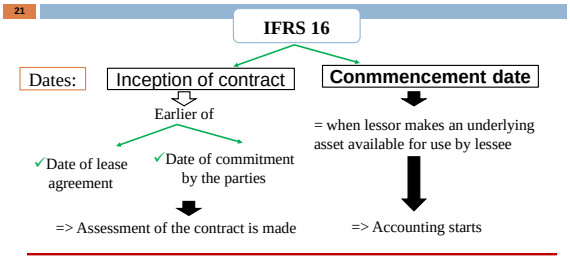
Market-Fresh ký thỏa thuận (Hợp đồng A) trong **5 năm** sử dụng **1 gian hàng bán lẻ (quầy 16)** trong trung tâm thương mại do Alpha điều hành (bên cho thuê)



- Market-Fresh có quyền sử dụng quầy bán lẻ từ **6 giờ sáng đến 11 giờ đêm** là khoảng thời gian trung tâm thương mại đảm bảo an ninh. Ngoài thời gian này, quầy hàng không được phép.

Alpha LTd có quyền yêu cầu Market-Fresh di dời đến 1 tầng khác và sẽ trả chi phí di dời. Tuy nhiên, Market-Fresh có quyền lựa chọn di dời hay không.

Commencemend date



- Contract signed: 20 jan 20X1
- Asset taken: 1 mar 20x1
- 1st rental payment: 1 may 20x1

✓Assess contract on 20 Jan 20X1

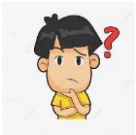
✓Recognize right – of- use asset on 1 mar 20X1

IFRS 16 - LEASE



MEASUREMENT

- ✓ Lease term ?
- ✓ Lease payment?
- ✓ Implicit rate ?



22

Lease terms

Lease term

= non- cancellable period of the lease

\+ period covered by an option to **extend** (if option exercised)

\+ period covered by an option to **terminate** (if option not exercised)

=> **Assess** whether the option will be exercised

- ✓ Terms and conditions of option
- ✓ Leasehold improvements
- ✓ Costs of terminating the lease
- ✓ Importance of underlying asset

Ex2:

Lease?



Ví dụ: Market-Fresh

Các điều khoản mới đối với hợp đồng A

- Thời hạn thuê 5 năm với quyền chọn gia hạn thêm 5 năm nữa.
- Tiền thuê hàng năm sẽ tăng lên mức $55,000 (tăng 10% so với năm đầu).
- Giá thuê trên thị thị trường thường tăng ở mức 5%/năm.
- Market-Fresh dự định đầu tư $50,000 cải tạo mặt bằng theo hướng thiết kế riêng cho quầy 16 và do vậy, không thể chuyển chúng đến địa điểm khác.
- Quầy 16 có vị trí đắc địa và Market-Fresh khó có thể tìm được vị trí tương tự trong bán kính 50 km.

1. **Đâu là những điểm chính cần xem xét khi xác định thời hạn thuê trong điều kiện tồn tại quyền gia hạn hợp đồng?**
2. **Theo các yếu tố này, xác định thời hạn của hợp đồng A?**
3. **Hạch toán kế toán có bị ảnh hưởng?**

25

Gợi ý

Các yếu tố chính?	Market-Fresh chắc chắn sẽ thực hiện quyền gia hạn bởi: • Giá thuê theo hợp đồng là ưu đãi hơn thị trường, • Đã đầu tư lớn cải tạo mặt bằng, và • Khan hiếm mặt bằng cho thuê tương tự.
Thời hạn hợp đồng?	• 10 năm
Ảnh hưởng đến kế toán?	• **Ghi nhận lần đầu:** Tính cả các khoản tiền thuê từ năm thứ 6 -10 khi đánh giá ghi nhận lần đầu nợ thuê phải trả. • **Đánh giá lại:** Quyền sử dụng tài sản cần được khấu hao trong 10 năm.

26

Lease payments



payments made by a lessee to a lessor for the right - of- use of an underlying asset during the lease term

- ✓ Fixed payments (also in- substance fixed payments) less any incentives
- ✓ Variable payments depending on an index or a rate
  => Include at prevailing rate/index at measurement date, remeasure **only** when **changed**
- ✓ Exercise price of purchase option (if to be exercised)
- ✓ Penalties for terminating the lease
- ✓ Residual value guarantees

Lease payments



payments made by a lessee to a lessor for the right - of- use of an underlying asset during the lease term

- ✓ Fixed payments (also in- substance fixed payments) less any incentives
- ✓ Variable payments depending on an index or a rate
  => Include at prevailing rate/index at measurement date, remeasure **only** when **changed**
- ✓ Exercise price of purchase option (if to be exercised)
- ✓ Penalties for terminating the lease
- ✓ Residual value guarantees

Tiền thuê về bản chất là cố định

Ví dụ: Market-Fresh

Giả sử Market-Fresh thuê ô tô cho cấp quản lý.

- Yêu cầu công việc cần phải di chuyển đến trụ sở của đối tác.
- Nếu không có ô tô thì không thể đi được
- Tiền thuê là $1,000/tháng cộng phụ thu $500 nếu xe dùng cho công việc.

Khoản tiền thuê có bao gồm phụ thu $500/tháng?

Có. Khoản phụ thu về bản chất là tiền thuê cố định vì:

- Ô tô được thuê sử dụng cho công việc
- Thực tế không có biến động trong tiền thuê và khoản này là không thể tránh.

Do vậy, về bản chất, tổng tiền thuê hàng tháng là $1,500.

29

Tiền thuê về bản chất là cố định

Nếu...

Giả sử hợp đồng thuê ô tô quy định mức tiền thuê phụ thuộc vào quãng đường đã đi trong tháng, cụ thể như sau:

- $750 nếu đi ít hơn 500 km,
- $1,250 nếu đi từ 500 đến 2000 km, và
- $1,750 nếu đi hơn 2,000 km.

Thực tế, tiền thuê hàng tháng là bao nhiêu?

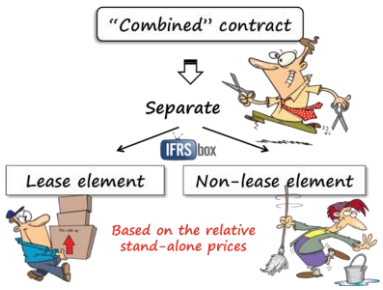
- Market-Fresh phải chọn một trong các mức trên.
- Mức tiền thuê tối thiểu là $750 và do vậy, cần coi là tiền thuê cố định về bản chất.

Kết đoán

30

Combined contract: a lease & some services

31



Combined contract: a lease & some services

32

IAS 17	IFRS 16
When you lease some assets under operating lease (as called by older IAS 17), in most cases, a lessor provides certain services to you, such as maintenance, repairs, cleaning, etc. Under older IAS 17, you did not need to think about it too much, because you put all lease payments as some rental expense to your profit or loss.	Under new IFRS 16, you need to ***split the rental or lease payments into lease element and non-lease element***, because you need to: Account for a lease element as for a lease under IFRS 16 (if it meets the criteria in IFRS 16); and Account for a service element as before, in most cases as an expense in profit or loss.

Ví dụ - Market-Fresh

Ngoài việc thuê quầy 16, Alpha cho Market-Fresh thuê thêm 3 điểm bốc dỡ hàng phía sau.

Các điều khoản mới:

- Market-Fresh được toàn quyền sử dụng 3 điểm bốc dỡ hàng.
- Các điểm bốc dỡ này sẽ làm giảm chi phí vận chuyển cho Market-Fresh do vị trí gần với quầy hàng.
- Việc sử dụng các điểm bốc dỡ được coi là cấu phần thuê theo IFRS 16.

Có cần hạch toán việc thuê điểm bốc dỡ như hợp đồng thuê riêng biệt?

Không. Các điểm bốc dỡ không phải là cấu phần thuê riêng biệt.

- Các điểm bốc dỡ có quan hệ chặt chẽ với quầy hàng; và
- Market-Fresh không thể thu được lợi ích từ việc chỉ sử dụng riêng các điểm bốc dỡ hàng này.

@ 2017 Công ty TNHH Deloitte Việt Nam

Bên cho thuê và bên đi thuê

Hạch toán riêng cấu phần thuê và cấu phần khác

Bên đi thuê
Phân bổ chi phí đi thuê theo giá riêng của cấu phần thuê và cấu phần khác

Bên cho thuê
Phân bổ doanh thu tiền thuê theo IFRS 15, đoạn 73-90

Cấu phần hợp đồng	Bảo dưỡng (cấu phần khác)		Thuê		Tổng cộng
					$
Giá riêng:	$5K	$15K	$30K	$50K	$100K
Tổng giá trị hợp đồng					**$110K**
Phân bổ giá phí cho cấu phần thuê			$33K ($30K * 110/100)	$55K ($50K * 110/100)	$88K
Phân bổ giá phí cho cấu phần khác					$22K

@ 2017 Công ty TNHH Deloitte Việt Nam

Giá bán riêng biệt ("SASP")

Giá SASP cho một cấu phần là:

Giá mà bên cho thuê, hay một nhà cung cấp tương tự, có thể bán hàng hóa và dịch vụ riêng rẽ cho khách hàng.

Định nghĩa

Yếu tố thương mại, có thể không có sẵn thông tin

Xét đoán

Nếu không tham chiếu được giá bán riêng biệt, bên đi thuê có thể đưa ra ước tính, tận dụng tối đa các thông tin thu thập được.

Phương pháp ước tính bao gồm:
- Phương pháp điều chỉnh thông tin thị trường,
- Phương pháp chi phí dự kiến cộng lợi nhuận định mức, và
- Phương pháp giá trị còn lại.

Thông tin quan sát được có thể là:
- Điều kiện thị trường,
- Thông tin về khách hàng/dạng khách hàng, Và
- Các điều kiện cụ thể khác.

Implicit rate

36

Xác định lãi suất chiết khấu

Tỷ suất nội hoàn của hợp đồng thuê

Là lãi suất chiết khấu làm giá trị hiện tại ròng của các khoản tiền thuê và giá trị còn lại không đảm bảo bằng với giá trị hợp lý của tài sản đi thuê cộng với các chi phí trực tiếp phát sinh ban đầu của bên đi thuê. (Tỷ suất nội hoàn).

Nếu không thể xác định được tỷ suất nội hoàn...

Sử dụng chi phí lãi vay tăng thêm của bên đi thuê

Implicit rate

37

Xác định lãi suất chiết khấu

Lãi suất chiết khấu cần thay đổi khi phải đánh giá lại nợ thuê phải trả

✓ Có sự thay đổi thời hạn thuê **HOẶC**

Lãi năm = ((1+ lãi tháng)^12)-1
Lãi tháng = (lãi năm+1)^(1/12)-1

✓ Có sự thay đổi trong đánh giá quyền chọn mua lại tài sản đi thuê.

Nếu đã xác định...

Sử dụng tỷ suất nội hoàn cho thời hạn còn lại của hợp đồng

Nếu chưa xác định...

Sử dụng chi phí đi vay tăng thêm của bên đi thuê tại ngày đánh giá lại.

How to determine the appropriate Discount rate ?

Lessor

Lessee

=> Interest rate implicit in the lease (IRR)

✓ PV of lease payments

✓PV of unguaranteed residual value

✓ FV of underlying asset

✓Lessor's initial direct cost

⇒ Interest rate implicit in the lease (IRR) (difficult to determine)

⇒Incremental borrowing rate

✓Similar term and security

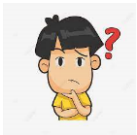
✓Observable rates

38

ACCOUNTING BY LESSEE



- ✓Lessee's accounting **at** the commencement date
- ✓Lessee's accounting **after** the commencement date
- ✓Presentation & disclosure

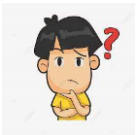


39

ACCOUNTING BY LESSEE



- ✓Lessee's accounting at the commencement date



40

At the commencement

41



Recognition →

- Right – of – use Asset
- **Lease liability**

Lease term
Lease payment
Implicit rate

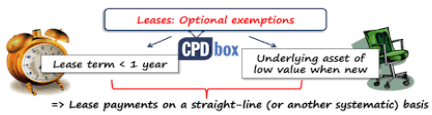
At the commencement

42

This model is very similar to the accounting for finance leases under IAS 17. There are ***2 exceptions*** from this rule:

➢ Lease of assets for less than 12 months (short-term leases), and

➢ Lease of assets of a low value (such as computers, furniture etc.).



At the commencement



Right - of – use asset

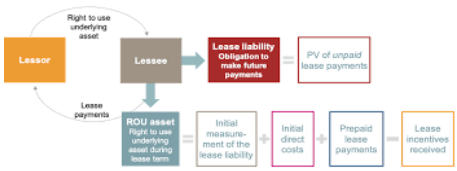
Lease liability

- ✓ Amount for lease liability
- ✓ Lease payments before/on commencement date – lease incentives
- ✓ Initial direct costs: Incremental costs of obtaining a lease that **would NOT have been incurred without the lease** (except for manufacturer or dealer lessors). For example: legal fees, commission, internal cost, certain legal advices
- ✓ Estimate of dismantling costs

Lease term
Lease payment
Implicit rate

At the commencement





After the commencement



- Remeasurement: Right – of – use Asset
  Lease Liability
- Modifications

After the commencement



- Remeasurement: Right – of – use Asset
  Lease Liability

After the commencement

Right - of – use asset

Lease liability

Debit: P/L- depreciation Ex

Credit: ROU- accumulated depreciation

- ✓Cost model (IAS 16)
- ✓Fair value model (IAS 40)
- ✓Revaluation model (IAS 16)
- ✓Impairment test (IAS 36)

✓Interest on the LL — Constant periodic interest rate

Debit: P/L- Interest

Credit: **Lease** liability

✓Reduction of the LL

Debit: Lease liability

Credit: Cash/bank

After the commencement



- Modifications

=> Lessee remeasurement

Lease liability | As an adjustment | Right – of – use asset

HOW? => Discount revised lease payments

Revised discount rate | Unchanged discount rate

WHEN?

- ✓ Change in lease term
- ✓ Change in option to purchase assessment
- ✓ Change in amounts for residual value
- ✓ Change in future payments due to index/rate

At the commencement – Modification

= change in the scope, or consideration that was NOT part of **original terms**

Are the rights added to the lease contract to use one or more underlying assets?

No → Lease modification = Change in **existing lease**

Yes ↓

Does the consideration **increase** commensurate with the stand – alone price for the increase in scope?

No → Lease modification = Change in **existing lease**

Yes ↓

LEASE MODIFICATION = **SEPARATE LEASE**

At the commencement – Modification

= change in the scope, or consideration that was NOT part of original terms

⇨ Lessee accounts:

Lease modification = Change in **existing lease**

- ✓ Allocates the consideration in the modified contract
- ✓ Determines the lease term of the modified lease
- ✓ Applies revised discount rate to remeasure the lease liability

⇩

✓ Adjustment to right – of – use asset

ACCOUNTING BY LESSEE



✓ Presentation & disclosure



51

Presentation

52

- ✓ Present right – of – use asset separately from other asset
- ✓ Present lease liabilities separately from other liabilities

⇒ Or disclose in the notes

- ✓ Present interest on the lease liability separately from depreciation of ROU asset
- ✓ Cash flows:
  - Payments for principal ⇒ Financing activities
  - Payments for interest ⇒ choice (Financing or operating)
  - Payments for short – term leases, low – value asset leases and variable payments not within lease liability ⇒ operating activities

Disclosure

53

1. Disclosures of assets, liabilities, expenses and cash flows

- ✓ Depreciation of ROU by class
- ✓ Interest expense on lease liabilities
- ✓ Expense related to short – term leases
- ✓ Expense related to low – value leases
- ✓ Expenses related to variable LP not within LL
- ✓ Income from subleasing of ROU assets
- ✓ Cash outflow for leases
- ✓ Addition to ROU assets
- ✓ Gains/losses sale and leaseback
- ✓ Carrying amount of ROU by class

2. Additional disclosures

ACCOUNTING BY LESSOR



3.1. Classification of leases
3.2. Finance lease
3.3. Operating lease
3.4. Other: sublease; sale & leaseback
3.5. Disclosure

54

3.1. Classification of lease

55



Are risks and rewards of ownership transferred to lessee?

RISK + REWARDS

Yes → Finance lease

No → Operating lease

Finance lease

56

Situations



- ✓ Ownership transferred by the end of lease term
- ✓ Option to purchase the asset at price < fair value
- ✓ Lease term => major part of economic life of asset
- ✓ Present value of lease payments => close to fair value
- ✓ Leased assets are specialized nature

Example

57

- An entity leases an asset. The lease is for three years with payments of $5,000 annually. The fair value of the asset is $ 13,000 and the present value of the minimum lease payments is $ 12,886. The useful life of the asset is 3 years and the entity is responsible for maintaining and insuring the asset

Indicators of Situations

58

Indicators of situations that could also lead to a lease being classified as a finance lease are:

(1) if the lessee can cancel the lease, the lessor's losses associated with the cancellation are borne by the lessee;

(2) gains, or losses, from the change in the fair value of the residual accrue to the lessee (for example, in the form of a rent rebate equalling most of the sales proceeds at the end of the lease); and

(3) the lessee has the ability to continue the lease for a secondary period, at a rent that is substantially lower than market rent.

This generally indicates that the lessor has no wish to take back the asset and only wishes to finance the transaction

Example Cancellation-cost to the lessee

59

- You lease a photocopier for **7** years. If you cancel the lease, you must pay all the remaining payments (till the end of the lease). This is a finance lease, as there is no method of paying a reduced rental for just the time elapsed since the start of the lease.

Accounting by lessors: classification of leases

60

Land + Building => Land = indefinite economic life

⇩

Separate classification

Land → Operating lease unless title passes at the end of lease term

Building → Operating or finance lease

=> Allocation of lease payments = based on proportion of fair value

Land and Buildings

61

- Leases of land and of buildings are classified as operating, or finance, leases in the same way as leases of other assets. However, land normally has an indefinite economic life and, if title is not to pass to the lessee by the end of the lease term, the lessee normally does not receive substantially all of the risks and rewards incidental to ownership, and the lease of land will be an operating lease.



3.2. Accounting by lessor: finance lease

62

- 3.2.1. At the commencement
- 3.2.1. After the commencement

3.2.1. At the commencement

63



At the commencement

Debit: ease receivable

Credit: PPE



Credit: P/L gain on sale of PPE (or Debit if Loss)

Net investment in the lease

- ✓ Fixed payments
- ✓ Variable payments (index)
- ✓ Residual value guarantees
- ✓ Exercise price of purchase option
- ✓ Penalties for terminating

Payments not paid at the commencement date

+ initial direct costs

3.2.2. After the commencement

64

After the commencement

LR: lease payments



Reduction of LR

Debit: Cash

Finance income

Credit: lease receivable
P/L – interest income

Constant periodic rate of return

Apply IFRS 9 to the net investment in the lease (impairment, derecognition)

Lease remeasurement and modification => Similar as lessees

65

Accounting by lessor: Finance lease

Manufacturer / Dealer lessors

Selling profit

Finance lease

- ✓ Revenue – costs of sales
- ✓ As outright sales under IFRS 15
- ✓ Initial direct costs in P/L
- ✓ If artificially low interest rate

=> selling profit is restricted

3.3. Accounting by lessor: operating lease

66

Accounting by lessor: Operating lease

Lease payments

Underlying asset

- ✓ Revenue on straight – line (or other) basic
- ✓ Initial direct costs are added to the asset
- ✓ Depretiation

Manufacturer / Dealer lessors

=> No selling profit

3.3. Accounting by lessor: operating lease

67

- Accounting for operating leases:
  - Leased assets remain on B/S
  - Recognize lease income on straight-line basis over lease term
  - Add initial direct costs to leased asset and depreciate over lease term on same basis as lease income is recognized
  - Depreciation and impairment covered by IAS 16, 38 and 36

Lessor accounting

68

Finance lease	• Derecognise the right-of-use asset (1) and recognise instead a lease receivable equal to the net investment in the sub-lease (2); • Recognise the difference between (1) and (2) as a gain or loss in the income statement; • Retain the previously recognised lease liability in capacity as lessee and recognise interest expense thereon; and • Recognise interest income on the lease receivable in capacity as finance lessor.
Operating lease	• Retain the right-of-use asset in capacity as lessee and continue to recognise depreciation thereon; • Retain the lease liability in capacity as lessee and continue to recognise interest expense thereon; • Recognise lease income from the sub-lease in capacity as operating lessor

3.4. Accounting by lessor: other

69

- Sublease
- Sale & leaseback

Accounting by lessor: sublease

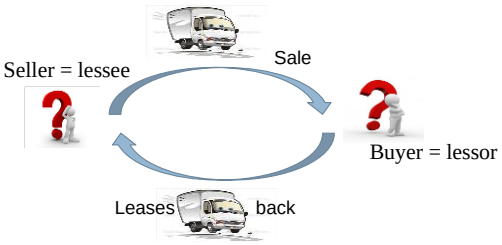
70



Type of sublease	Accounting by the intermediate lessor
Operating	Keeps recognizing the head lease as before
Finance	Debit Net investment in the lease / credit ROU asset (difference in profit or loss)
Head lease = short - term	Recognition exemption; sublease = operating

Sale & leaseback

71



Sale & leaseback

72

Did control of an underlying asset passed to the buyer?

IFRS 15- Revenue from contracts with customers?

Is the transfer of asset a sale under

Yes / No

✓Seller (lessee):
- Right – of – use asset at proportion of the previous carrying amount
- Gain/loss related to the transferred right only

✓Buyer (Lessor):
- Asset under applicable standards
- Lease under IFRS 16

✓Leaseback:
- As for any other (adjustment for off – market terms)

✓ Seller (lessee):
- Continues to recognize an asset
- Financial liability (IFRS 9)

✓Buyer (lessor):
- Financial asset (IFRS 9)

3.5. Accounting by lessor: disclosure

73

✓In tabular format

=> For finance lease

- ✓ Selling profit or loss
- ✓Finance income on net inv. In the lease
- ✓Income related to variable LP not within LR

=> For operating lease

- ✓ Lease income
- ✓Income related to variable LP not depending on an index/rate

✓Additional quantitative and qualitative disclosures

✓Maturity analysis (refer to examples)

74

IFRS 16 how to implement?

= mandatory effective date
(earlier application with IFRS 15 is permitted)

How to make a transaction?

Full retrospective adoption

= retrospectively to each prior reporting period

- ✓No need to reassess whether contract is/contains a lease at the date of initial application (if IAS 17/IFRIC 4 applied)

Modified retrospective adoption

= retrospectively with cumulative effect at the date of initial application

- ✓Comparatives presented under prior IFRS
- ✓IFRS 16 applied to existing and new contracts onwards
- ✓Adjustment to opening retained earnings